YOSHIMI LABO AUD-TBS002

AUD Task-Based Simulation

Topic: Internal Control & Evidence · Accounts Payable · Meridian Plastics Corporation

Difficulty: Advanced | Assertions: Completeness, Cutoff, Existence | Standards: AU-C 240, 265, 330, 530 | Rev: 1

📋 Scenario

Read carefully before proceeding to exhibits and tasks

Meridian Plastics Corporation ("Meridian") is a mid-sized manufacturer of industrial packaging components headquartered in Columbus, Ohio. The company generates approximately $180 million in annual revenue and maintains a December 31 fiscal year-end. You are an audit senior at Calloway & Reed LLP ("C&R"), currently conducting the financial statement audit for the year ended December 31, 20X3.

Meridian's production process relies heavily on raw materials procurement. The purchasing department initiates purchase orders (POs), which require dual approval for amounts exceeding $50,000. Receiving personnel log goods received into the enterprise resource planning (ERP) system, and accounts payable (AP) processes invoices independently. Management has represented that a three-way match control (PO, receiving report, and vendor invoice) operates automatically within the ERP system prior to payment authorization.

During planning, your team assessed the risk of material misstatement related to accounts payable as moderate-to-high, citing a history of cutoff errors and a recent ERP system upgrade completed in August 20X3. The engagement partner has directed you to test the operating effectiveness of the three-way match control and to gather sufficient appropriate evidence over the completeness and accuracy of year-end accounts payable.

Your procedures have generated three exhibits: an internal control memo prepared by Meridian's controller, an exception report produced by the ERP system, and a sample of vendor invoices tested for the period October–December 20X3.

Instructions: Review the exhibits, then answer all 6 tasks.

🗐 Internal Control Memo — Accounts Payable Process

Prepared by: Dana Fleischer, Controller | Date: November 14, 20X3

OVERVIEW

The AP module of the ERP system (Vantage Pro v9.2, upgraded August 5, 20X3) is configured to perform a three-way match before releasing any payment batch. A payment will be blocked if any of the following conditions exist: (a) no approved PO on file, (b) quantity received is less than quantity invoiced by more than 2%, or (c) unit price variance between PO and invoice exceeds 3%.

APPROVAL THRESHOLDS

POs under $10,000: single approval (purchasing supervisor). POs $10,000–$50,000: dual approval (purchasing supervisor + finance manager). POs over $50,000: dual approval + CFO sign-off required before release.

POST-UPGRADE CHANGES

Following the August upgrade, configuration settings for the price-variance tolerance were temporarily set to 10% for a 30-day stabilization period (August 5 – September 4, 20X3) to allow legacy vendor pricing tables to migrate. The tolerance reverted to 3% on September 5, 20X3. IT has confirmed in writing that no other control parameters were altered.

MANUAL OVERRIDE PROCEDURES

Any payment processed outside the automated match requires a Manual Override Form (MOF) signed by the Controller and CFO. MOFs are logged in a separate register maintained by Internal Audit. During 20X3, 14 MOFs were issued: 11 for emergency procurement situations and 3 for system error corrections.

SEGREGATION OF DUTIES

Personnel who initiate POs do not have access to post vendor invoices or approve payments. The AP clerk who posts invoices cannot approve POs or access the receiving module. Payroll and AP functions are handled by separate staff.

📊 ERP System Exception Report — Three-Way Match Failures (Q4 20X3)

Period: October 1 – December 31, 20X3 | Generated: January 6, 20X4

Exception #	Vendor	Invoice Date	Invoice Amt ($)	PO Amt ($)	Received Qty	Invoiced Qty	Exception Type	Resolution
EX-0041	Hartwell Resins Ltd.	Oct 8	62,400	62,400	1,040	1,040	No approved PO on file at time of payment	MOF issued; CFO approved 10/10
EX-0042	Chemco Supply Inc.	Oct 22	18,750	18,750	490	510	Qty received < qty invoiced (3.9%)	Dispute resolved; invoice adjusted to $17,985
EX-0043	Hartwell Resins Ltd.	Nov 3	88,500	88,500	1,475	1,475	No approved PO on file at time of payment	MOF issued; CFO approved 11/5
EX-0044	Trident Polymers Co.	Nov 17	41,200	40,000	820	820	Unit price variance 3.0% — within tolerance; logged as informational	No action required
EX-0045	BioSeal Components	Dec 2	29,600	29,600	592	592	Duplicate invoice detected	Second invoice voided; no payment made
EX-0046	Chemco Supply Inc.	Dec 19	53,100	53,100	885	885	CFO sign-off missing (amt > $50,000)	Payment held; CFO approval obtained 12/21
EX-0047	Hartwell Resins Ltd.	Dec 28	71,300	71,300	1,188	1,188	No approved PO on file at time of payment	MOF issued; Controller approved only — CFO absent

🔍 Auditor's Invoice Sample Testing — Q4 20X3

Sample size: 40 invoices | Selection: Monetary-unit sampling | Tolerable misstatement: $250,000 | Risk of incorrect acceptance: 5%

Invoice #	Vendor	Invoice Date	Invoice Amt ($)	PO on File?	Receiving Report Matched?	Period Recorded	Auditor Notes
INV-8814	Hartwell Resins Ltd.	Dec 28	71,300	No	Yes	Dec 20X3	EX-0047; MOF missing CFO signature
INV-8801	Trident Polymers Co.	Dec 30	44,500	Yes	Yes	Dec 20X3	No exceptions noted
INV-8756	Chemco Supply Inc.	Dec 19	53,100	Yes	Yes	Dec 20X3	EX-0046; payment delayed but properly recorded
INV-8699	Vantage Logistics LLC	Dec 31	38,200	Yes	No — receiving report dated Jan 4, 20X4	Dec 20X3	Potential cutoff issue — goods received in January
INV-8702	Summit Adhesives Inc.	Dec 31	27,500	Yes	No — receiving report dated Jan 2, 20X4	Dec 20X3	Potential cutoff issue — goods received in January
INV-8643	BioSeal Components	Dec 2	29,600	Yes	Yes	Dec 20X3	Duplicate voided per EX-0045; only one charge recorded
INV-8590	Hartwell Resins Ltd.	Nov 3	88,500	No	Yes	Nov 20X3	EX-0043; MOF on file with proper dual approval
INV-8544	Greenfield Packaging	Oct 15	19,400	Yes	Yes	Oct 20X3	No exceptions noted
INV-8511	Chemco Supply Inc.	Oct 22	17,985	Yes	Yes	Oct 20X3	Adjusted per EX-0042; correct amount recorded
INV-8489	Hartwell Resins Ltd.	Oct 8	62,400	No	Yes	Oct 20X3	EX-0041; MOF on file with CFO approval

🟠 Orange rows: Cutoff exceptions 🔴 Pink rows: MOF exceptions

✏ Tasks

Select an answer for each of the 6 questions below

1 Control Deficiency Classification

Based on the information in Exhibits 1 and 2, evaluate Exception EX-0047 (INV-8814, Hartwell Resins Ltd., December 28). Determine the most appropriate classification of the internal control deficiency. Select the best answer.

A. A control deficiency, because the MOF was eventually filed

B. A significant deficiency, because the control deviation is isolated and the amount is immaterial to total AP

C. A material weakness, because a payment exceeding $50,000 was authorized without CFO sign-off, bypassing a key compensating control, and Hartwell Resins represents a pattern of missing POs

D. No reportable condition, because the CFO was absent and the Controller's approval was a reasonable business accommodation

2 Cutoff Testing — Period-End Cutoff

Review Exhibit 3. Two invoices (INV-8699 and INV-8702) were recorded in December 20X3, but receiving reports indicate the goods were not received until January 20X4. Both purchase orders specify FOB destination terms. Which assertion is most directly affected, and what is the auditor's most appropriate response?

A. Valuation — the auditor should recompute the invoice amounts for accuracy

B. Cutoff error resulting in liabilities recorded in the wrong accounting period — the auditor should propose adjusting entries to remove these liabilities from 20X3 and record them in 20X4

C. Completeness — the auditor should search for unrecorded liabilities as of December 31

D. Rights and obligations — the auditor should confirm that Meridian holds title to the goods as of December 31

3 Impact of ERP System Upgrade on Audit Approach

Exhibit 1 discloses that the three-way match control's price-variance tolerance was temporarily changed from 3% to 10% from August 5 to September 4, 20X3. How should this most affect C&R's audit strategy for the fiscal year ended December 31, 20X3?

A. The auditor should bifurcate the testing period: rely on substantive procedures for August 5 – September 4 transactions and consider control reliance only for the remainder of the year after confirming the reversion

B. The auditor must disclaim an opinion on internal controls because a system parameter was changed without board approval

C. The auditor can rely on the control for the full year because the parameter reverted to 3% before year-end

D. The auditor should reduce the sample size for AP testing because the ERP upgrade indicates management takes IT controls seriously

4 Vendor Pattern — Professional Skepticism

Across Exhibits 2 and 3, Hartwell Resins Ltd. appears in three Q4 exceptions (EX-0041, EX-0043, EX-0047), all categorized as "No approved PO on file at time of payment," with total Q4 payments of $222,200. Consistent with AU-C 240, which additional audit procedure is most appropriate?

A. Issue an immediate management letter citing Hartwell Resins as a fraudulent vendor

B. Confirm accounts payable balances directly with Hartwell Resins and review the complete population of Hartwell Resins transactions for the full year 20X3 to assess whether the pattern extends beyond Q4

C. Reduce further testing of Hartwell Resins because the MOF process successfully compensated for the missing POs

D. Request that management terminate the vendor relationship with Hartwell Resins before issuing the audit report

5 Sampling — Projecting Misstatements

C&R used monetary-unit sampling (MUS) with a tolerable misstatement of $250,000 and a 5% risk of incorrect acceptance. The sample identified $65,700 in cutoff errors (INV-8699 and INV-8702). Total recorded AP is $14,800,000. Assuming the projected misstatement exceeds tolerable misstatement, which conclusion is most appropriate?

A. Accept the AP balance as materially correct because $65,700 is only 0.44% of total AP

B. Request that management investigate and propose adjusting entries; if management does not adjust, consider the impact on the audit opinion

C. Automatically qualify the audit report because misstatements were found in the sample

D. Increase the sample size to 100 and reperform the entire MUS procedure before taking any action

6 Communication Requirements

C&R has identified a material weakness (EX-0047 / MOF missing CFO signature) and potential fraud risk indicators related to Hartwell Resins. To whom must these be communicated, and in what form, under AU-C 265 and AU-C 240?

A. Both matters must be communicated only to management in writing; no communication to those charged with governance is required unless management requests it

B. The material weakness must be communicated in writing to both management and those charged with governance; fraud risk indicators must be communicated to those charged with governance and appropriate management, and to authorities if required by law

C. Both matters may be communicated orally at the auditor's discretion, as long as documented in workpapers

D. The material weakness requires only a verbal communication at the exit conference; written communication is required only for significant deficiencies